

COOPERATIVE SOCIETY REGISTRATION

Application Documents for Lesotho Registrar of Cooperatives

PART A: APPLICATION FORM

To: The Registrar of Cooperatives

Ministry of Small Business Development, Cooperatives and Marketing

P.O. Box [NUMBER]

Maseru 100, Lesotho

APPLICATION FOR REGISTRATION AS A COOPERATIVE SOCIETY

We, the undersigned, hereby apply for registration of a Cooperative Society under the Cooperative Societies Act of 2000.

1. PROPOSED SOCIETY DETAILS

1.1 Name of Cooperative Society

Primary Name: [Platform Name] Digital Finance Cooperative Society Limited

Alternative Names (if primary unavailable):

1. [Alternative 1]

2. [Alternative 2]

1.2 Registered Office Address

Physical Address:

[Street Address]

[District], [Community Council]

Lesotho

Postal Address:

P.O. Box [NUMBER]

Maseru 100, Lesotho

Contact Details:

Telephone: +266 [NUMBER]

Email: [EMAIL]

Website: [URL]

1.3 Type of Cooperative

- ☐ Agricultural Cooperative
☐ Savings and Credit Cooperative (SACCO)
☒ Service Cooperative (Digital Financial Services)
☐ Consumer Cooperative
☐ Marketing Cooperative
☐ Multi-Purpose Cooperative

1.4 Area of Operation

Geographic Scope:

- ☒ National (All districts of Lesotho)
- ☐ Regional (Specify districts): _____
- ☐ Local (Specify community councils): _____

Target Membership:

- ☒ Open to all eligible Lesotho citizens and residents
 - ☐ Restricted to: _____
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2. OBJECTIVES AND ACTIVITIES

2.1 Primary Objectives

The objectives of the Cooperative Society shall be:

- 1. Financial Inclusion**
To promote financial inclusion for unbanked and underbanked Basotho through digital technology and community-based group lending structures.
- 2. Group Empowerment**
To digitally enable and strengthen traditional savings and lending groups (Stokvels, Burial Societies, Employer Unions, and Village Savings Groups).
- 3. Technology Platform**
To operate a digital platform connecting community groups with licensed financial institutions for access to affordable credit.
- 4. Financial Literacy**
To provide financial education and literacy training to members and their communities.
- 5. Economic Development**
To support sustainable livelihoods, income generation, and poverty reduction through access to financial services.
- 6. Women's Empowerment**
To promote economic empowerment of women through targeted financial products and support services.
- 7. Rural Development**
To extend financial services to rural and underserved areas through mobile-first technology.
- 8. Social Impact**
To create measurable positive social impact through responsible, transparent, and ethical financial services.

2.2 Activities to be Undertaken

The Cooperative Society will engage in the following activities:

Primary Activities:

1. Operating a digital technology platform for group-based microfinance
2. Facilitating connections between borrower groups and licensed lenders
3. Providing group formation, management, and governance support
4. Conducting identity verification and documentation services
5. Offering financial literacy training and education programs
6. Providing customer support and dispute resolution services
7. Collecting and analyzing data to improve financial inclusion

Supporting Activities: 8. Technology development and maintenance 9. Member recruitment and onboarding 10. Community outreach and engagement 11. Research and advocacy for financial inclusion 12. Partnership development with lenders, NGOs, and government 13. Impact measurement and reporting

Future Activities (subject to approval and licensing): 14. Direct microfinance lending to groups 15. Savings mobilization services 16. Micro-insurance facilitation 17. Business development services 18. Supply chain financing

3. MEMBERSHIP

3.1 Membership Categories

A. Individual Members

- Any person aged 18+ who is a Lesotho citizen or legal resident
- Members of registered Borrower Groups on the platform
- Pays membership fee and subscribes to at least one share

B. Group Members

- Registered Borrower Groups (Stokvels, Burial Societies, etc.)
- Minimum 5 individual members per group
- Group represented by elected administrator

C. Associate Members (non-voting)

- Partner organizations (NGOs, government agencies)
- Technical advisors and supporters
- Honorary members contributing to cooperative mission

3.2 Admission Requirements

To become a member, an applicant must:

1. Complete membership application form
2. Be accepted by the Board or designated committee
3. Pay membership entrance fee: M 50
4. Subscribe to minimum share capital: M 100 (minimum 10 shares @ M 10 each)
5. Agree to abide by the Constitution and By-Laws
6. Not have been expelled from another cooperative for misconduct

3.3 Rights of Members

Members shall have the right to:

1. Vote at General Meetings (one member, one vote)
2. Stand for election to the Board of Directors
3. Access cooperative services
4. Receive patronage refunds/dividends as declared
5. Inspect books and records (reasonable notice)
6. Attend and participate in General Meetings
7. Transfer shares subject to Board approval
8. Withdraw from membership per Constitution

3.4 Obligations of Members

Members shall:

1. Pay all dues, fees, and share capital contributions
2. Abide by Constitution, By-Laws, and policies
3. Actively participate in cooperative activities
4. Attend General Meetings
5. Promote cooperative principles and values
6. Not engage in activities harmful to the cooperative
7. Maintain confidentiality of sensitive information

3.5 Termination of Membership

Membership terminates upon:

1. Voluntary withdrawal (30 days written notice)
 2. Death (shares transferred to estate)
 3. Expulsion for misconduct (after due process)
 4. Persistent non-payment of dues (6+ months)
 5. Bankruptcy or insolvency
 6. Failure to meet membership criteria
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4. CAPITAL STRUCTURE

4.1 Share Capital

Authorized Share Capital: M 5,000,000

Share Value: M 10 per share

Total Authorized Shares: 500,000 shares

4.2 Minimum Share Subscription

- **Individual Members:** Minimum 10 shares (M 100)
- **Group Members:** Minimum 50 shares per group (M 500)
- **Associate Members:** Minimum 5 shares (M 50)

4.3 Maximum Share Holding

- No member may hold more than 20% of issued share capital
- Ensures democratic control and prevents concentration

4.4 Share Payments

- Shares paid in full upon subscription
- Payment by cash, bank transfer, or mobile money
- Share certificates issued within 30 days
- Shares not transferable to non-members without Board approval

4.5 Dividends

- Dividends declared from net surplus after allocations to reserves
- Paid proportionate to shares held
- Maximum dividend rate: [12]% per annum or as determined by law
- Payable annually after approval at Annual General Meeting

4.6 Patronage Refunds

- Additional surplus distributed as patronage refunds based on member usage
 - Encourages active participation in cooperative services
 - Calculated based on transaction volume or service fees paid
 - Payable in cash or additional shares
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5. GOVERNANCE STRUCTURE

5.1 General Meeting

Composition: All members (individual and group representatives)

Powers:

- Elect and remove Board of Directors
- Approve annual financial statements and reports
- Declare dividends and patronage refunds
- Amend Constitution and By-Laws
- Approve major policy changes
- Dissolve the cooperative

Meetings:

- Annual General Meeting: within 4 months of financial year-end
- Special General Meetings: as needed, called by Board or 10% of members
- Notice: 21 days minimum
- Quorum: 25% of members or 50 members, whichever is less

Voting:

- One member, one vote (democratic principle)
- Voting in person or by proxy
- Decisions by simple majority unless Constitution specifies otherwise
- Constitutional amendments: 75% majority

5.2 Board of Directors

Composition:

- Minimum 5, maximum 9 directors
- Elected by General Meeting
- Term: 3 years, staggered (1/3 elected annually)
- Maximum consecutive terms: 3 (9 years)
- Must be members of the cooperative

Required Representation:

- Minimum 30% women directors (gender balance)
- At least 2 directors from rural districts
- At least 1 director with financial services experience
- At least 1 director with technology experience
- At least 1 director representing group members

Powers and Duties:

- Overall governance and strategic direction
- Appoint and supervise management
- Approve annual budget and business plans
- Establish policies and procedures
- Ensure regulatory compliance
- Convene General Meetings
- Approve membership applications
- Recommend dividend rates

Meetings:

- Quarterly minimum (at least 4 per year)
- Notice: 7 days
- Quorum: Simple majority of directors
- Minutes maintained and available to members

Remuneration:

- Directors serve voluntarily or for nominal sitting allowances
- Reimbursement of reasonable expenses
- No director may be in paid employment of cooperative

5.3 Executive Committee

Composition:

- Chairperson, Vice-Chairperson, Secretary, Treasurer
- Elected by Board from among directors
- Term: 1 year, renewable

Functions:

- Implement Board decisions
- Handle urgent matters between Boar